FRD – FIRST-TIME SETUP & INVOICING / PAYMENT MODULE

PREPARED FOR: ACCOUNTING / ERP SOFTWARE
MODULE TYPE : FUNCTIONAL REQUIREMENT DOCUMENT (FRD)
OBJECTIVE : COMPANY SETUP, INVOICING, PAYMENTS & COMPLIANCE

AGENDA

- Introduction
- Module Overview
- Company Details (First-Time Setup)
- Company Details: Mandatory Fields
- User & Security Details
- First-Time Setup Flow
- Setup Outcome
- Invoicing & Payment Module
- Sales Invoice: Party Details
- Sales Invoice: Item Details
- Sales Invoice Summary

AGENDA

- Sales Invoice Accounting Impact
- Purchase Invoice Module
- Purchase Invoice Special Fields
- Purchase Invoice Accounting Impact
- Auto Purchase Invoice via PDF/Image
- Auto Upload Workflow
- OCR Extracted Data
- Payment Entry Module
- Payment Types
- Payment Details
- Payment Accounting Impact
- Reports (Auto Updated)
- Validation Rules
- User Roles
- Accounting Flow (Sales)
- Accounting Flow (Purchase)
- Developer Notes
- Final Outcome

INTRODUCTION

THIS DOCUMENT EXPLAINS THE **FUNCTIONAL REQUIREMENTS** OF:

- FIRST-TIME COMPANY SETUP
- SALES & PURCHASE INVOICING
- GST & TDS COMPLIANCE
- PAYMENT ENTRY & ADJUSTMENT
- REPORTS & ACCOUNTING IMPACT

PURPOSE:
TO ENSURE SMOOTH ACCOUNTING OPERATIONS, ACCURATE REPORTS, AND STATUTORY COMPLIANCE.

MODULE OVERVIEW

MODULES COVERED

- COMPANY DETAILS – FIRST-TIME SETUP
- SALES INVOICE MODULE
- PURCHASE INVOICE MODULE
- AUTO PURCHASE INVOICE VIA PDF/IMAGE
- PAYMENT ENTRY MODULE
- REPORTS & VALIDATION RULES
- USER ROLES & ACCOUNTING FLOW

COMPANY DETAILS (FIRST-TIME SETUP)

Objective

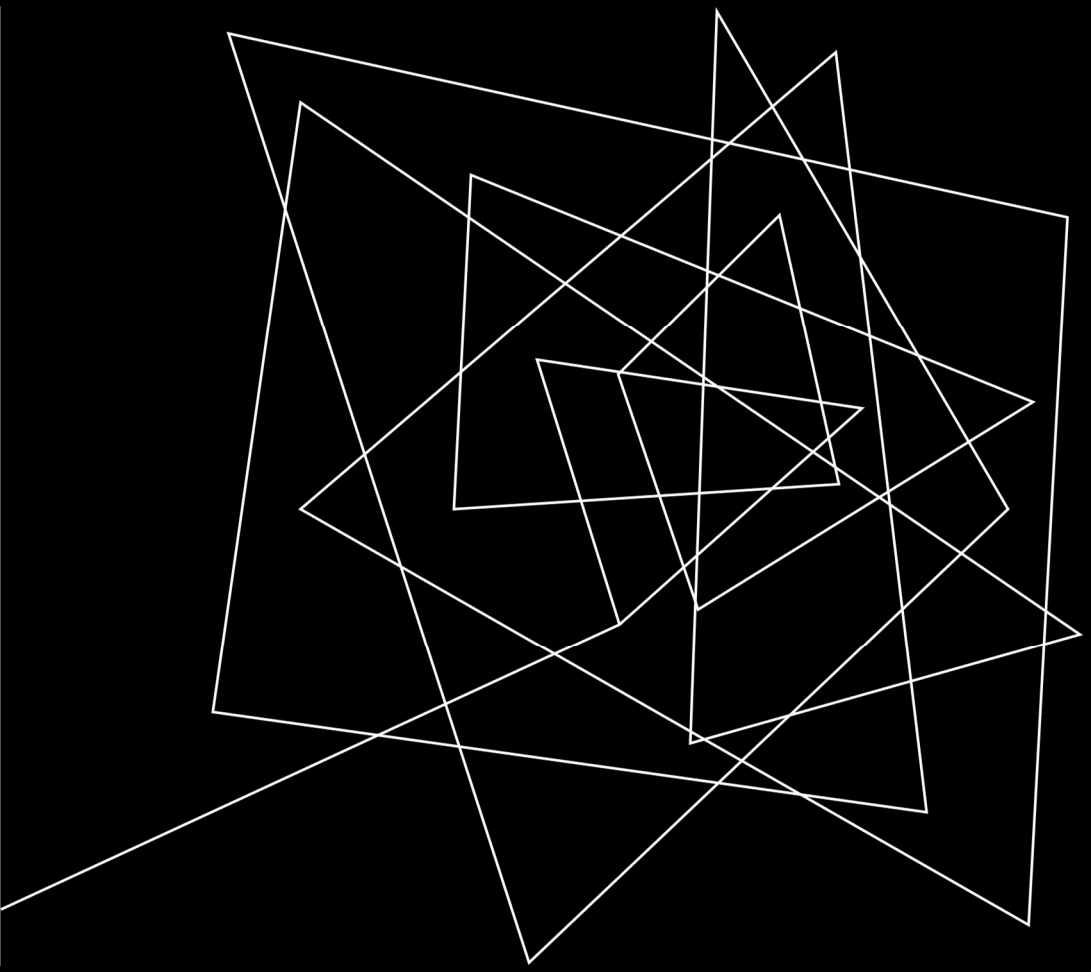
Capture all mandatory company details during first login

Data will be used in:

- Invoices
- GST & TDS Reports
- Financial Statements
- Audit Reports

⚠️ **Mandatory Step:**
User cannot access software until company setup is completed.

COMPANY DETAILS: MANDATORY FIELDS



COMPANY INFORMATION FIELDS

- COMPANY NAME (LEGAL NAME)
- ESTABLISHMENT DATE
- GST NUMBER (GSTIN – 15 CHARACTERS)
- PAN NUMBER
- ADDRESS (STREET, CITY, STATE)
- STATE (FOR GST CALCULATION)
- PIN CODE (6 DIGITS)
- PHONE NUMBER
- EMAIL ID

USER & SECURITY DETAILS

Admin User Creation

- User ID (Admin / Super User)
- Password (Min 8 characters – encrypted)
- Confirm Password
- Optional:
  * CIN Number (Pvt / Ltd)
  * Company Logo (for invoice branding)

FIRST-TIME SETUP FLOW

Process Flow

User logs in for the first time

System checks company profile:

- Exists → Dashboard opens
- Not Exists → Company Details Form

User enters mandatory details

System validates data (GST, PAN, Email, Password)

Company profile saved

Success message shown → Dashboard access

SETUP OUTCOME

Outcome

Company master data created

Auto-used in:

- Invoices
- Ledgers
- GST & TDS Reports
- Audit & Financial Reports

INVOICING & PAYMENT MODULE

Objective

Create Sales & Purchase Invoices

Ensure GST & TDS compliance

Track outstanding balances

Smart payment adjustment

Auto-create purchase invoices via PDF/Image upload

SALES INVOICE: PARTY DETAILS

Sales Invoice – Party Section

- Party Name (Ledger based search)
- GSTIN (Auto fetch)
- PAN Number (Auto fetch)
- State (Auto from GSTIN)
- Invoice Number (Auto / Manual)
- Invoice Date (Financial year check)
- Place of Supply

SALES INVOICE: ITEM DETAILS

ITEM / SERVICE GRID

- DESCRIPTION (ITEM / SERVICE)
- HSN / SAC CODE
- QUANTITY
- RATE
- TAXABLE AMOUNT (AUTO)
- GST % (CGST / SGST / IGST)
- GST AMOUNT (AUTO)
- TDS % (OPTIONAL)
- LINE TOTAL (AUTO)

SALES INVOICE SUMMARY

AUTO CALCULATED SUMMARY

- TOTAL TAXABLE VALUE
- TOTAL GST AMOUNT
- TOTAL TDS AMOUNT
- NET INVOICE AMOUNT

ADDITIONAL FIELDS:

- NARRATION
- REFERENCE NO (PO / AGREEMENT)
- DUE DATE
- PAYMENT TERMS

SALES INVOICE ACCOUNTING IMPACT

ACCOUNTING ENTRIES

PARTY ACCOUNT → **DEBIT**
SALES ACCOUNT → **CREDIT**
GST OUTPUT → **CREDIT**
TDS RECEIVABLE → **DEBIT**
PAYMENT RECEIVED → AUTO-UPDATE PARTY LEDGER

PURCHASE INVOICE MODULE

PURCHASE INVOICE – OVERVIEW

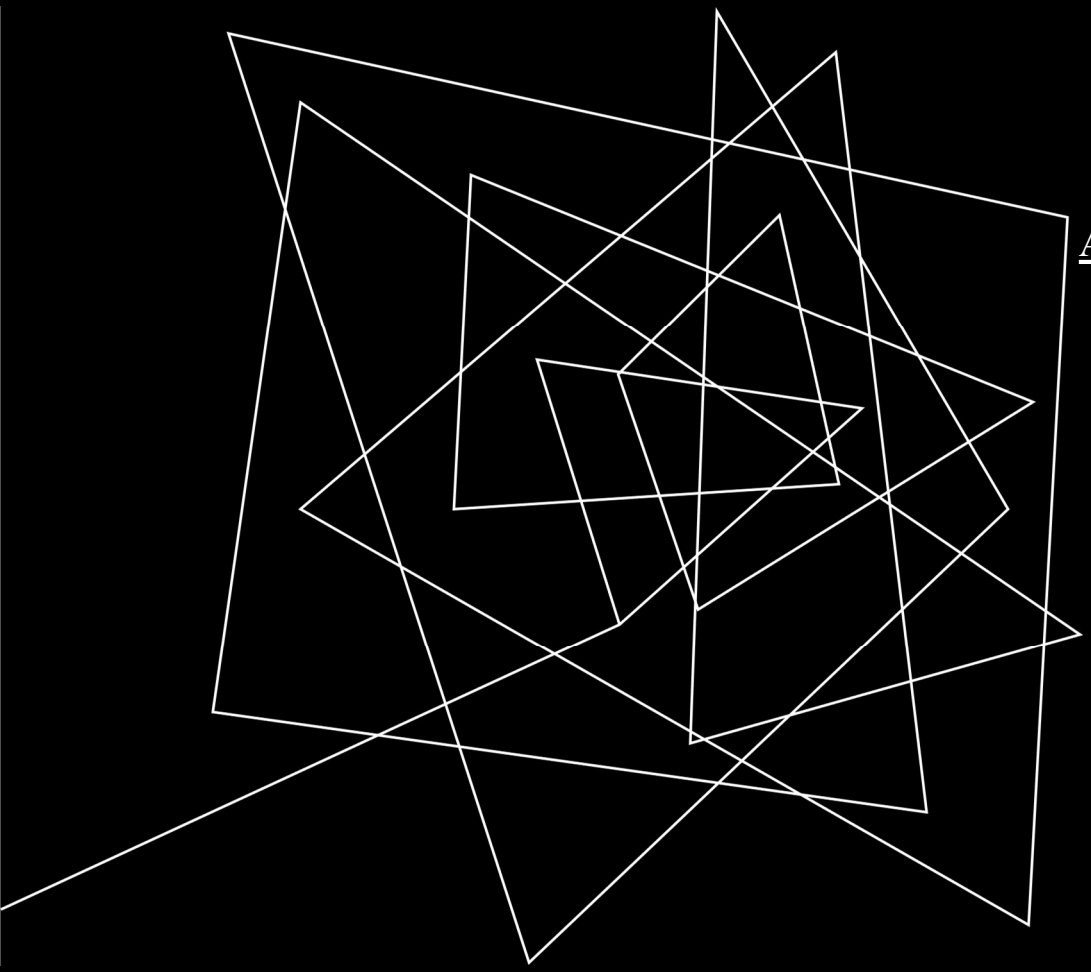
SAME STRUCTURE AS SALES INVOICE, WITH ADDITIONAL CONTROLS FOR:
- SUPPLIER COMPLIANCE
- ITC ELIGIBILITY
- RCM APPLICABILITY

PURCHASE INVOICE SPECIAL FIELDS

Additional Fields

Supplier Name (Ledger based)
RCM Applicable (Yes / No)
ITC Eligible (Yes / No)
Expense / Stock Ledger Mapping

PURCHASE INVOICE ACCOUNTING IMPACT



ACCOUNTING ENTRIES

EXPENSE / STOCK → **DEBIT**
INPUT GST → **DEBIT**
SUPPLIER → **CREDIT**
TDS PAYABLE → **CREDIT**
PAYMENT MADE → AUTO-UPDATE SUPPLIER LEDGER

AUTO PURCHASE INVOICE VIA PDF/IMAGE

New Feature: OCR Based Entry

Objective:

Reduce manual data entry using PDF / Image upload.

Supported Formats:

PDF

JPG

PNG (Max 10 MB)

AUTO UPLOAD WORKFLOW

PROCESS FLOW

- USER UPLOADS INVOICE PDF/IMAGE
- SYSTEM PERFORMS OCR
- EXTRACTS INVOICE DATA AUTOMATICALLY
- PURCHASE INVOICE FORM AUTO-FILLED
- USER REVIEWS & EDITS
- SAVE → ACCOUNTING ENTRIES GENERATED

OCR Extracted Data

Auto Extracted Fields

- Supplier Name
- GSTIN & PAN
- Invoice Number & Date
- Item Details
- HSN / SAC
- Quantity & Rate
- GST % & TDS %
- Invoice Total

Payment Entry Module

Payment Entry Objective

- Record payments accurately
- Adjust against invoices or advances
- Update ledgers automatically

Payment Types

Payment Options

- Against Invoice
- Advance Payment
- On Account
- Settlement (Multiple Invoices)

Payment Details

Payment Information

- Payment Date
- Mode (Cash / Bank / UPI)
- Bank Account (If Bank)
- Cheque / UTR No (Optional)
- Narration

Payment Accounting Impact

Accounting Scenarios

- Against Invoice → Invoice status Paid / Part Paid
- Advance → Advance Ledger updated
- On Account → Party Ledger updated
- Settlement → Auto-adjust invoices

REPORTS (AUTO UPDATED)

Reports Impact

- Party Ledger
- Outstanding Report
- Ageing Report
- Cash / Bank Book
- GST Reports
- TDS Reports

VALIDATION RULES

System Validations

- GSTIN Format Check
- PAN Validation
- Unique Invoice Number
- Financial Year Lock
- Negative Balance Check

User Roles

Access Control

- **Admin:** Full Access
- **Accountant:** Entry & Edit
- **Auditor:** Read Only

Accounting Flow (Sales)

Sales Invoice Flow

Create Invoice
→ Enter Party & Items
→ System Calculates Taxes
→ Accounting Entries
→ Reports Updated
→ Payment Received

Accounting Flow (Purchase)

Purchase Invoice Flow

Create / Upload Invoice
→ OCR / Manual Entry
→ Tax Calculation
→ Accounting Entries
→ Reports Updated
→ Payment Made

DEVELOPER NOTES

Technical Notes

GST Export: Excel / CSV

Filters: Date, Party, GSTIN

Auto Calculations:

- Taxable = Qty × Rate
- GST = Taxable × %
- TDS = Taxable × %

Ledger auto-update

FINAL OUTCOME

Outcome & Benefits

- Fully GST & TDS compliant system
- Reduced manual work
- Accurate ledgers & reports
- Faster reconciliation
- Scalable & audit-ready solution

THANK YOU